Company Registration No. 07698872 (England and Wales)

WREXHAM AFC LIMITED

FINANCIAL STATEMENTS

FOR THE YEAR ENDED 30 JUNE 2022

PAGES FOR FILING WITH REGISTRAR

WREXHAM AFC LIMITED

COMPANY INFORMATION

Directors	Mr H Ker Mr R McElhenney Mr R R Reynolds
Company number	07698872
Registered office	Racecourse Ground Mold Road Wrexham LL11 2AH
Auditor	Xeinadin Audit Limited St Andrews House Yale Business Village Ellice Way Wrexham LL13 7YL
Business address	Racecourse Ground Mold Road Wrexham LL11 2AH

WREXHAM AFC LIMITED

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WREXHAM AFC LIMITED

DIRECTORS' REPORT

FOR THE YEAR ENDED 30 JUNE 2022

The directors present their annual report and financial statements for the year ended 30 June 2022 ('the period').

The principal activity of the company continued to be that of a football club.

In the directors report last year, we referred to the takeover in February 2021 and that our enhanced commercial activities would only become visible in this period. An increase in turnover to £5.972m, just over 400% from the previous 12 months adequately demonstrates that prediction to be true. The directors do not feel we are anywhere near reaching the ceiling of the club's potential yet.

The mission statement continues to inform all decision making at the club. Our annual review of performance revealed that the principles that form it, remain current and continue to guide our journey as custodiams of the club.

The acquisition of the freehold of the Racecourse Ground was completed on the 29th June 2022 and brought the ownership back to the club. Wrexham Glyndwr University, before the sale, satisfied themselves that the disposal to the club was consistent with the views of the majority of fans and the club voluntarily included covenants on the transfer that will ensure football remains the primary activity at the Racecourse Ground until at least 2115.

A loss of £2.914m while disappointing, was predicted despite the increased turnover, as we invested heavily in a playing squad with the ambition of gaining promotion to the EFL. As the record books show, we fell just short, eventually losing to Grimsby Town in extra time of the play-off semi-final. It was described as a 'game for the ages' but the disappointment of the defeat only served to strengthen the collective resolve to gain promotion at the end of the 2022/23 season and to provide the financial support required, to give the club the best chance of achieving this.

The R.R McReynolds Company LLC subscribed for an additional £1.2m of shares during the period and provided £3.67m of loans to the club. There is no immediate pressure to repay these loans that funded the purchase of the Racecourse Ground and stadium improvements.

The ambition of becoming self-sufficient may well take some time to achieve but remains the objective, however, this desire will not prevent strategic investment where required to deliver success at the earliest possible opportunity. The directors are committed to this approach, while not putting the club in any form of risk.

Our programme of improving the Racecourse Ground continues, as we plan for the addition of a further 5,500 seats and the return to a 4-sided stadium which is capable of hosting senior international fixtures upon completion.

We would like to thank the players and staff at the club for their unwavering support during the period, which included fully embracing the documentary cameras into their everyday working lives.

The positive impact of our Welcome to Wrexham documentary, will be reflected in the next financial statements and is providing the club with a platform to market itself across the globe.

We remain committed to playing a full part in the life of the club and making a positive difference, in every way, for the benefit of everyone in this wonderful place we have taken to our hearts.

Directors

The directors who held office during the year and up to the date of signature of the financial statements were as follows:

Mr H Ker
Mr R McElhenney
Mr R R Reynolds

Auditor

Xeinadin Audit Limited were appointed as auditor to the company and in accordance with section 485 of the Companies Act 2006, a resolution proposing that they be re-appointed will be put at a General Meeting.

Statement of directors' responsibilities

The directors are responsible for preparing the annual report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Statement of disclosure to auditor

So far as each person who was a director at the date of approving this report is aware, there is no relevant audit information of which the company's auditor is unaware. Additionally, the directors individually have taken all the necessary steps that they ought to have taken as directors in order to make themselves aware of all relevant audit information and to establish that the company's auditor is aware of that information.

Small companies exemption

This report has been prepared in accordance with the provisions applicable to companies entitled to the small companies exemption.

On behalf of the board

Mr H Ker
Director

31 March 2023

WREXHAM AFC LIMITED

BALANCE SHEET

AS AT 30 JUNE 2022

	Notes	2022 £	2022 £	2021 £	2021 £
Fixed assets					
Intangible assets	**5**		916,517		11,335
Tangible assets	**6**		4,395,039		307,351
			5,311,556		318,686
Current assets					
Stocks		205,413		38,640	
Debtors	**7**	444,552		136,148	
Cash at bank and in hand		1,286,806		863,990	
		1,936,771		1,038,778	
Creditors: amounts falling due within one year	**8**	(4,035,833)		(379,772)	
Net current (liabilities)/assets			(2,099,062)		659,006
Total assets less current liabilities			3,212,494		977,692
Creditors: amounts falling due after more than one year	**9**		(4,033,006)		(84,571)
Net (liabilities)/assets			(820,512)		893,121
Capital and reserves					
Called up share capital			4,447,484		3,247,485
Profit and loss reserves			(5,267,996)		(2,354,364)
Total equity			(820,512)		893,121

The directors of the company have elected not to include a copy of the profit and loss account within the financial statements.

These financial statements have been prepared and delivered in accordance with the provisions applicable to companies subject to the small companies regime.

The financial statements were approved by the board of directors and authorised for issue on 31 March 2023 and are signed on its behalf by:

Mr **H** Ker
Director

Company Registration No. 07698872

1 Accounting policies

Company information

Wrexham AFC Limited is a private company limited by shares incorporated in England and Wales. The registered office is Racecourse Ground, Mold Road, Wrexham, LL11 2AH.

1.1 Accounting convention

These financial statements have been prepared in accordance with FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" ("FRS 102") and the requirements of the Companies Act 2006 as applicable to companies subject to the small companies regime. The disclosure requirements of section 1A of FRS 102 have been applied other than where additional disclosure is required to show a true and fair view.

The financial statements are prepared in sterling, which is the functional currency of the company. Monetary amounts in these financial statements are rounded to the nearest £.

The financial statements have been prepared under the historical cost convention. The principal accounting policies adopted are set out below.

1.2 Going concern

At the time of approving the financial statements, the directors have a reasonable expectation that the company has adequate resources to continue in operational existence for the foreseeable future despite the net liability position. T herefore the directors continue to adopt the going concern basis of accounting in preparing the financial statements.

1.3 Turnover

Turnover represents all income arising from the activities of the company exclusive of player transfer fees and value added tax. Included within turnover are retail, stadium, sponsorship and advertising, other income and match receipts which are recognised net of payments owing to visiting clubs, the Football Association and the Football Conference.

Retail income is recognised at the point of sale. Stadium income is recognised on the date of the event. Sponsorship income is recognised over the duration of the contract. Broadcasting fees are recognised when earned. Gate and other match day revenue is recognised over the period of the football season as games are played.

1.4 Intangible fixed assets other than goodwill

Amortisation is recognised so as to write off the cost or valuation of assets less their residual values over their useful lives on the following bases:

Website	Amortised evenly over their estimated useful life of 5 years.
Trademarks	Amortised evenly over their estimated useful life of 10 years.
Player Registration	Amortised evenly over the life of the individual contracts.

1 Accounting policies **(Continued)**

1.5 Tangible fixed assets

Tangible fixed assets are initially measured at cost and subsequently measured at cost or valuation, net of depreciation and any impairment losses.

Depreciation is recognised so as to write off the cost or valuation of assets less their residual values over their useful lives on the following bases:

Freehold land and buildings	2% on cost, land not depreciated
Property improvements	10% on cost
Plant and equipment	20% on cost
Fixtures and fittings	20% on cost
Computers	30% on cost

The gain or loss arising on the disposal of an asset is determined as the difference between the sale proceeds and the carrying value of the asset, and is credited or charged to profit or loss.

1.6 Impairment of fixed assets

At each reporting period end date, the company reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any). Where it is not possible to estimate the recoverable amount of an individual asset, the company estimates the recoverable amount of the cash-generating unit to which the asset belongs.

1.7 Stocks

Stocks are valued at the lower of cost and net realisable value, after making due allowance for obsolete and slow moving items.

1.8 Cash and cash equivalents

Cash and cash equivalents are basic financial assets and include cash in hand, deposits held at call with banks, other short-term liquid investments with original maturities of three months or less, and bank overdrafts. Bank overdrafts are shown within borrowings in current liabilities.

1.9 Financial instruments

The company has elected to apply the provisions of Section 11 'Basic Financial Instruments' and Section 12 'Other Financial Instruments Issues' of FRS 102 to all of its financial instruments.

Financial instruments are recognised in the company's balance sheet when the company becomes party to the contractual provisions of the instrument.

Financial assets and liabilities are offset, with the net amounts presented in the financial statements, when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

Basic financial assets

Basic financial assets, which include debtors and cash and bank balances, are initially measured at transaction price including transaction costs and are subsequently carried at amortised cost using the effective interest method unless the arrangement constitutes a financing transaction, where the transaction is measured at the present value of the future receipts discounted at a market rate of interest. Financial assets classified as receivable within one year are not amortised.

1 Accounting policies **(Continued)**

Classification of financial liabilities

Financial liabilities and equity instruments are classified according to the substance of the contractual arrangements entered into. An equity instrument is any contract that evidences a residual interest in the assets of the company after deducting all of its liabilities.

Basic financial liabilities

Basic financial liabilities, including creditors, bank loans, loans from fellow group companies and preference shares that are classified as debt, are initially recognised at transaction price unless the arrangement constitutes a financing transaction, where the debt instrument is measured at the present value of the future payments discounted at a market rate of interest. Financial liabilities classified as payable within one year are not amortised.

Debt instruments are subsequently carried at amortised cost, using the effective interest rate method.

Trade creditors are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Amounts payable are classified as current liabilities if payment is due within one year or less. If not, they are presented as non-current liabilities. Trade creditors are recognised initially at transaction price and subsequently measured at amortised cost using the effective interest method.

1.10 Equity instruments

Equity instruments issued by the company are recorded at the proceeds received, net of transaction costs. Dividends payable on equity instruments are recognised as liabilities once they are no longer at the discretion of the company.

1.11 Employee benefits

The costs of short-term employee benefits are recognised as a liability and an expense, unless those costs are required to be recognised as part of the cost of stock or fixed assets.

The cost of any unused holiday entitlement is recognised in the period in which the employee's services are received.

Termination benefits are recognised immediately as an expense when the company is demonstrably committed to terminate the employment of an employee or to provide termination benefits.

1.12 Grants

Grants and government grants are recognised at the fair value of the asset received or receivable when there is reasonable assurance that the grant conditions will be met and the grants will be received.

A grant that specifies performance conditions is recognised in income when the performance conditions are met. Where a grant does not specify performance conditions it is recognised in income when the proceeds are received or receivable. A grant received before the recognition criteria are satisfied is recognised as a liability.

1.13 Foreign exchange

Transactions in currencies other than pounds sterling are recorded at the rates of exchange prevailing at the dates of the transactions. At each reporting end date, monetary assets and liabilities that are denominated in foreign currencies are retranslated at the rates prevailing on the reporting end date. Gains and losses arising on translation in the period are included in profit or loss.

2 Judgements and key sources of estimation uncertainty

In the application of the company's accounting policies, the directors are required to make judgements, estimates and assumptions about the carrying amount of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised where the revision affects only that period, or in the period of the revision and future periods where the revision affects both current and future periods.

Key sources of estimation uncertainty
The estimates and assumptions which have a significant risk of causing a material adjustment to the carrying amount of assets and liabilities are as follows.

Tangible assets, depreciation and residual values
The Directors have reviewed the estimated useful lives and residual values of all tangible asset classes and have concluded that useful lives and residual values are appropriate.

The useful lives of the tangible assets are reviewed regularly and may vary depending on a number of factors. The review includes consideration of issues such as future market conditions, the remaining life of the asset and potential disposal values.

Intangible assets, amortisation and residual values
The Directors have reviewed the estimated useful lives and residual values of all intangible asset classes and have concluded that useful lives and residual values are appropriate.

The useful lives of the tangible assets are reviewed regularly and may vary depending on a number of factors. The review includes consideration of issues such as player health and fitness. Residual value assessments consider issues such as future market conditions, current league status retention and the remaining life of the asset.

Imapirment of non-current assets
The club assesses the impairment of tangible and intangible assets subject to amortisation or depreciation whenever events or changes in circumstances indicate that the carrying value may not be recoverable. Factors considered important that could instigate an impairment review include:

- Significant underperformance relative to historic or projected future operating results, including relegation from the current league
- Significant damage or injury of players
- Significant changes in the matter of the use of the acquired assets or the strategy of the club
- Significant negative industry or economic trends.

3 Exceptional item

	2022 £	2021 £
Takeover costs	-	132,203
Write off related party balance	-	(40,092)
	-	92,111

(Continued)

3 Exceptional item

The exceptional items in 2021 are in relation to the one off takeover costs of the Club by The R.R. McReynolds Company LLC being £132,203 and the write off of the related party balance with WST Assets Limited of £40,092.

4 Employees

The average monthly number of persons (including directors) employed by the company during the year was:

	2022 Number	2021 Number
Total	195	80

5 Intangible fixed assets

	Website	Trademarks	Player Registration	Total
	£	£	£	£
Cost				
At 1 July 2021	28,600	340	10,000	38,940
Additions	655	-	1,175,337	1,175,992
At 30 June 2022	29,255	340	1,185,337	1,214,932
Amortisation and impairment				
At 1 July 2021	17,333	272	10,000	27,605
Amortisation charged for the year	4,452	34	266,324	270,810
At 30 June 2022	21,785	306	276,324	298,415
Carrying amount				
At 30 June 2022	7,470	34	909,013	916,517
At 30 June 2021	11,267	68	-	11,335

6 **Tangible fixed assets**

	Freehold land and buildings	Property improvements	Plant and equipment	Fixtures and fittings	Computers	Total
	£	£	£	£	£	£
Cost						
At 1 July 2021	-	368,263	59,887	42,287	73,646	544,083
Additions	2,107,000	2,082,185	43,738	99,269	101,060	4,433,252
At 30 June 2022	2,107,000	2,450,448	103,625	141,556	174,706	4,977,335
Depreciation and impairment						
At 1 July 2021	-	102,875	49,178	25,948	58,731	236,732
Depreciation charged in the year	-	280,403	10,515	18,558	36,088	345,564
At 30 June 2022	-	383,278	59,693	44,506	94,819	582,296
Carrying amount						
At 30 June 2022	2,107,000	2,067,170	43,932	97,050	79,887	4,395,039
At 30 June 2021	-	265,388	10,709	16,339	14,915	307,351

7 **Debtors**

	2022	2021
Amounts falling due within one year:	£	£
Trade debtors	388,001	59,468
Other debtors	1,205	35,001
Prepayments and accrued income	55,346	41,679
	444,552	136,148

8 **Creditors: amounts falling due within one year**

	2022	2021
	£	£
Bank loans	9,394	6,727
Trade creditors	1,702,565	224,482
Taxation and social security	310,532	23,987
Other creditors	2,013,342	124,576
	4,035,833	379,772

9 Creditors: amounts falling due after more than one year

	2022	2021
	£	£
Bank loans and overdrafts	32,273	43,273
Other creditors	4,000,733	41,298
	4,033,006	84,571

Included in other creditors is a related party loan. Further detail is provided in note 15. Also included in other creditors is a non-repayable deferred capital grant totalling £331,515 which will be released over the life of the related asset.

Creditors which fall due after five years are as follows:	2022	2021
	£	£
Payable by instalments	583,334	-

10 Audit report information

As the income statement has been omitted from the filing copy of the financial statements, the following information in relation to the audit report on the statutory financial statements is provided in accordance with s444(5B) of the Companies Act 2006:

The auditor's report was unqualified.

Senior Statutory Auditor:	Timothy Mitchell BSc FCA
Statutory Auditor:	Xeinadin Audit Limited

11 Pension commitments

Wrexham Football Club ('the Club') participates in the Football League Pension and Life Assurance Scheme ('the Scheme'). The Scheme is a funded multi-employer defined benefit scheme, with 92 participating employers, and where members may have periods of service attributable to several participating employers. The Club is unable to identify its share of the assets and liabilities of the Scheme and therefore accounts for its contributions as if they were paid to a defined contribution scheme.

The last actuarial valuation was carried out at 31 August 2020 where the total deficit on the on-going valuation basis was £27.553 million. The key assumptions used to calculate the deficit at the 31 August 2020 actuarial valuation are:

Discount Rate Gilt Yield Curve + 2.0% per annum
RPI inflation: Bank of England Inflation Curve
Pension Increases: Fixed 3.0% per annum for benefits accrued prior to 6 April 1997, and modelled using the RPI inflation assumption with a cap of 5.0% per annum and a floor of 3.0% per annum for benefits accrued after 6 April 1997.
Mortality (pre-retirement): None
Mortality (post-retirement): SAPS (Series 3) with CMI_2019 projections, a long-term improvement rate of 1.5% p.a. and an initial additional parameter of 0.5% p.a.

The accrual of benefits ceased within the Scheme on 31 August 1999, therefore there are no contributions relating to current accrual. The Club pays monthly contributions based on a notional split of the total expenses and deficit contributions of the Scheme.

The results of the 2020 valuation were rolled forward to 30 June 2022 on the same assumptions as detailed above, and the Club's notional share of the deficit was £41,995 (£41,995 as at 30 June 2021 based on the 2020 actuarial valuation results).

As at 30 June 2022, the Club was paying total contributions of £615 per month (increasing each year by 5% p.a. on 1 September) and based on the actuarial valuation assumptions detailed above will be sufficient to pay off the deficit by 30 June 2027.

As at 30 June 2022, based on an appropriate discount rate of 3.35% per annum (0.78% per annum as at 30 June 2021), the present value of the Club's outstanding contributions (i.e. their future liability) is £39,052 (£48.594 as at 30 June 2021). This amounts to £7,690 (30 June 2021: £7,299) due within one year and £31,362 (30 June 2021: £41,295) due after more than one year and is included within other payables.

Present Value of Defined Benefit Obligation

	2022	2021
	£	£
Present Value of Defined Benefit Obligation	39,052	48,594

Reconciliation of Defined Benefit Obligation

	2022	2021
	£	£
Defined Benefit Obligation at start of year	48,594	44,717
Net Interest Charge (Unwinding of discount rate)	350	289
Club contribution (deficit contribution)	(7,299)	(6,825)
Remeasurement (changes in assumptions)	(2,593)	(76)
Remeasurement (changes to contribution schedule)	-	10,489
Defined Benefit Obligation at end of year	39,052	48,594

11 Pension commitments **(Continued)**

Income and Expenditure Impact

	2022	2021
	£	£
Net Interest Charge (Unwinding of discount rate)	289	289
Remeasurement (changes in assumptions)	(2,593)	(76)
Remeasurement (changes to contribution schedule)	-	10,489

Assumptions

	2022	2021
Discount Rate (based on AA Corporate Bond Yields of appropriate currency/duration)	3.35%	0.78%

The funding objective of the Trustees of the Scheme is to have sufficient assets to meet the Technical Provisions of the Scheme. In order to remove the deficit revealed at the previous actuarial valuation (dated 31 August 2020), deficit contributions are payable by all participating clubs. Payments are made in accordance with a pension contribution schedule. As the Scheme is closed to accrual, there are no additional costs associated with the accruing of members' future benefits. In the case of a club being relegated from the Football League and being unable to settle its debt then the remaining clubs may, in exceptional circumstances, have to share the deficit.

Upon the wind-up of the Scheme with a surplus, any surplus will be used to augment benefits. Under the more likely scenario of there being a deficit, this will be split amongst the clubs in line with their contribution schedule. Should an individual club leave the Scheme, they may be required to pay their share of the deficit based on a proxy buyout basis (i.e. valuing the benefits on a basis consistent with buying out the benefits with an insurance company).

12 Financial commitments, guarantees and contingent liabilities

The terms of the agreements entered into with other football clubs for the transfer of players registrations provide for the payment of additional sums should Wrexham AFC gain promotion to EFL League 2. In addition the provisions of certain players contracts and bonus scheme also contain promotion related payments. For 2022 the liability is £250,676 (2021: £5,000).

Further bonuses should the Club gain promotion to EFL League 1 and EFL Championship may be payable, however there is uncertainty over the remoteness and timing of these liabilities.

13 Operating lease commitments

At the reporting end date the company had outstanding commitments for future minimum lease payments under non-cancellable operating leases, as follows:

	2022	2021
	£	£
	362,591	37,691

14 Capital commitments

Amounts contracted for but not provided in the financial statements:

	2022	2021
	£	£
Acquisition of tangible fixed assets	862,680	219,312

15 Related party transactions

The following amounts were outstanding at the reporting end date:

	2022	2021
Amounts due to related parties	£	£
Entities with control, joint control or significant influence over the company	3,713,679	-

The above balance attracts interest at 3% over the Bank of England base rate. The interest charged in the period amounts to £43,679, which is included in the above balance.

16 Ultimate controlling party

100% of the share capital in Wrexham AFC Limited is held by The R.R. McReynolds Company LLC, a company incorporated in the United States. Robert McElhenney and Ryan Reynolds are the ultimate controlling parties of The R.R. McReynolds Company LLC. The address of the registered agent is The R.R. McReynolds Company LLC, C/O Paracorp Incorporated, 2140 S Dupont Hwy, Camden, Kent, Delaware, 19934, United States.

This document was delivered using electronic communications and authenticated in accordance with the registrar's rules relating to electronic form, authentication and manner of delivery under section 1072 of the Companies Act 2006.